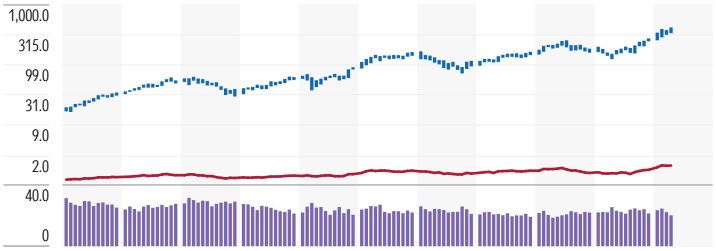
# Applied Materials Inc AMAT ★★★

ESG Risk Rating Assessment[1]
5-Jul-2025

Applied Materials is the largest semiconductor wafer fabrication equipment manufacturer in the world. It has a broad portfolio spanning nearly every corner of the WFE ecosystem. Applied Materials holds leading market share in deposition, which entails the layering of new materials on semiconductor wafers. It is more exposed to general-purpose logic chips made at integrated device manufacturers and foundries. It counts the largest chipmakers in the world as customers, including TSMC, Intel, and Samsung.

| Fair Value | Uncertainty | Economic Moat | Sector | Style | Market Cap (Mil) | Sales (Mil) | Last Close |
|---|---|---|---|---|---|---|---|
| $380.00 | High | Wide | Technology | Large Growth | 302,453 | 28,214 | 381.11 |

| | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | YTD |
|---|---|---|---|---|---|---|---|---|---|---|---|
| High | 33.68 | 60.89 | 62.40 | 63.07 | 90.61 | 163.02 | 167.06 | 165.01 | 255.89 | 276.10 | 420.50 |
| Low | 15.44 | 31.66 | 28.79 | 31.48 | 36.64 | 86.15 | 71.12 | 96.12 | 148.05 | 123.74 | 256.99 |




**10 Yr Range**(High/Low)
420.50-15.44

**52 Wk Range** (High/Low)
420.50-144.71

**Price Volatility**
- Monthly High/Low
- Rel Strength to S&P 500
- Split

**Trading Volume** (Million)

**Stock Performance**

| | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | YTD |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Total Return % | 75.0 | 59.7 | -34.6 | 89.0 | 42.8 | 83.4 | -37.5 | 67.7 | 1.3 | 59.1 | 48.5 |
| +/- Market | 63.0 | 37.8 | -30.2 | 57.5 | 24.4 | 54.7 | -19.4 | 41.4 | -23.7 | 41.2 | 43.8 |
| +/- Industry | 39.2 | -0.9 | -11.8 | -3.9 | -15.1 | 24.1 | -4.4 | 14.4 | 4.8 | -9.6 | -2.7 |
| Dividend Yield % | 1.2 | 0.8 | 2.1 | 1.4 | 1.0 | 0.6 | 1.1 | 0.8 | 0.9 | 0.7 | 0.5 |
| Market Cap $Mil | 34741 | 54000 | 31198 | 55879 | 78940 | 139536 | 82202 | 134691 | 131925 | 203717 | 302453 |

**Financials (USD)**

| | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | TTM |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Revenue $Mil | 10825 | 14698 | 16705 | 14608 | 17202 | 23063 | 25785 | 26517 | 27176 | 28368 | 28214 |
| Gross Margin % | 41.7 | 45.0 | 45.0 | 43.7 | 44.7 | 47.3 | 46.5 | 46.7 | 47.5 | 48.7 | 48.7 |
| Oper Income $Mil | 2152 | 3936 | 4491 | 3350 | 4365 | 7200 | 7784 | 7654 | 7867 | 8470 | 8391 |
| Operating Margin % | 19.9 | 26.8 | 26.9 | 22.9 | 25.4 | 31.2 | 30.2 | 28.9 | 29.0 | 29.9 | 29.7 |
| Net Income $Mil | 1721 | 3519 | 3038 | 2706 | 3619 | 5888 | 6525 | 6856 | 7177 | 6998 | 7839 |
| Earnings Per Share $ | 1.54 | 3.17 | 3.23 | 2.86 | 3.92 | 6.40 | 7.44 | 8.11 | 8.61 | 8.66 | 9.75 |
| Dividends $ | 0.40 | 0.40 | 0.60 | 0.82 | 0.86 | 0.92 | 1.00 | 1.16 | 1.44 | 1.72 | 1.78 |
| Shares Mil | 1116 | 1084 | 1026 | 945 | 923 | 919 | 877 | 845 | 834 | 808 | 803 |
| Book Value Per Share $ | 6.71 | 8.89 | 7.18 | 8.97 | 11.56 | 13.81 | 14.45 | 19.69 | 23.42 | 25.75 | 27.36 |
| Oper Cash Flow $Mil | 2566 | 3789 | 3787 | 3247 | 3804 | 5442 | 5399 | 8700 | 8677 | 7958 | 8719 |
| Cap Spending $Mil | -253 | -345 | -622 | -441 | -422 | -668 | -787 | -1106 | -1190 | -2260 | -2525 |
| Free Cash Flow $Mil | 2313 | 3444 | 3165 | 2806 | 3382 | 4774 | 4612 | 7594 | 7487 | 5698 | 6194 |

**Profitability**

| | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | TTM |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Return on Assets % | 11.5 | 20.7 | 16.4 | 14.8 | 17.5 | 24.4 | 24.8 | 23.9 | 22.0 | 19.8 | 22.1 |
| Return on Equity % | 23.2 | 42.5 | 37.5 | 35.9 | 38.5 | 51.6 | 53.4 | 48.0 | 40.6 | 35.5 | 38.9 |
| Asset Turnover | 0.72 | 0.86 | 0.90 | 0.80 | 0.83 | 0.96 | 0.98 | 0.92 | 0.83 | 0.80 | 0.80 |
| Net Margin % | 15.9 | 23.9 | 18.2 | 18.5 | 21.0 | 25.5 | 25.3 | 25.9 | 26.4 | 24.7 | 27.8 |
| Financial Leverage | 2.0 | 2.1 | 2.6 | 2.3 | 2.1 | 2.1 | 2.2 | 1.9 | 1.8 | 1.8 | 1.7 |

**Financial Health (USD)**

| | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 01-26 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Long-Term Debt $Mil | 3125 | 5304 | 5309 | 4713 | 5448 | 5452 | 5457 | 5461 | 5460 | 6455 | 6453 |
| Total Equity $Mil | 7217 | 9349 | 6845 | 8214 | 10578 | 12247 | 12194 | 16349 | 19001 | 20415 | 21717 |
| Debt/Equity | 0.43 | 0.57 | 0.78 | 0.57 | 0.53 | 0.46 | 0.47 | 0.35 | 0.30 | 0.34 | 0.32 |
| Working Capital $Mil | 4721 | 8803 | 6682 | 5759 | 8910 | 9763 | 8546 | 11775 | 12752 | 12882 | 13296 |

**Valuation**

| | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | TTM |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Price/Earnings | 21.0 | 16.1 | 10.1 | 21.3 | 22.0 | 24.6 | 13.1 | 20.0 | 18.9 | 29.7 | 39.1 |
| P/E vs. Market | — | — | 0.0 | 0.0 | 0.0 | 0.0 | — | — | 0.0 | 0.0 | 1.5 |
| Price/Sales | 3.3 | 3.8 | 1.9 | 3.9 | 4.6 | 6.3 | 3.3 | 5.2 | 5.0 | 7.3 | 10.8 |
| Price/Book | 4.8 | 5.8 | 4.6 | 6.8 | 7.5 | 11.4 | 6.7 | 8.2 | 6.9 | 10.0 | 13.9 |
| Price/Cash Flow | 14.6 | 15.4 | 8.9 | 17.8 | 20.9 | 26.6 | 15.8 | 15.7 | 15.6 | 26.1 | 35.1 |

**Growth Rates** (Compound Annual)

| Grade: C | 1 Yr | 3 Yr | 5 Yr | 10 Yr |
|---|---|---|---|---|
| Revenue % | 4.4 | 3.2 | 10.5 | 11.4 |
| Operating Income % | 7.7 | 2.9 | 14.2 | 18.1 |
| Earnings/Share % | 0.6 | 5.2 | 17.2 | 22.7 |
| Dividends % | 19.4 | 19.8 | 14.9 | 15.7 |
| Book Value/Share % | 10.8 | 21.2 | 17.3 | 14.7 |
| Stock Total Return | 154.0 | 50.6 | 23.4 | 34.1 |
| +/- Industry | -13.6 | 2.1 | -0.9 | -0.5 |
| +/- Market | 123.2 | 29.3 | 10.5 | 19.0 |

**Profitability Analysis**

| Grade: B | Current | 5 Yr Avg | Ind | Mkt |
|---|---|---|---|---|
| Return on Equity % | 38.9 | 45.8 | 36.3 | 34.8 |
| Return on Assets % | 22.1 | 23.0 | 17.7 | 17.3 |
| Revenue/Employee $K | 773.0 | 790.8 | — | 0.0 |
| Fixed Asset Turns | 5.9 | 9.0 | 4.4 | — |
| Inventory Turns | 2.5 | 2.6* | 2.1 | — |
| Gross Margin % | 48.7 | 47.3 | 48.4 | — |
| Operating Margin % | 29.7 | 29.8 | 30.8 | — |
| Net Margin % | 27.8 | 25.6 | 24.9 | 23.4 |
| Free Cash Flow/Rev % | 22.0 | 23.0 | 23.8 | — |
| R&D/Rev % | 12.6 | 11.5 | 11.5 | — |

**Financial Position (USD)**

| Grade: B | 10-25 $Mil | 01-26 $Mil |
|---|---|---|
| Cash | 7241 | 7218 |
| Inventories | 5915 | 5997 |
| Receivables | 5333 | 5525 |
| Current Assets | 20881 | 21049 |
| Fixed Assets | 5119 | 5598 |
| Intangibles | 3933 | 3922 |
| Total Assets | 36299 | 37644 |
| Payables | 2723 | 2999 |
| Short-Term Debt | 100 | 100 |
| Current Liabilities | 7999 | 7753 |
| Long-Term Debt | 6455 | 6453 |
| Total Liabilities | 15884 | 15927 |
| Total Equity | 20415 | 21717 |

**Valuation Analysis**

| | Current | 5 Yr Avg | Ind | Mkt |
|---|---|---|---|---|
| Price/Earnings | 39.1 | 21.0 | 48.3 | 25.8 |
| Forward P/E | 35.1 | — | — | — |
| Price/Cash Flow | 35.1 | 19.9 | 40.9 | 18.3 |
| Price/Free Cash Flow | 49.4 | 23.4 | 52.7 | — |
| Dividend Yield % | 0.5 | 0.8 | 0.4 | 1.5 |
| Price/Book | 13.9 | 8.5 | 17.1 | 4.8 |
| Price/Sales | 10.8 | 5.2 | 12.1 | — |
| PEG Ratio | 1.8 | — | — | — |

*3Yr Avg data is displayed in place of 5 Yr Avg

**Quarterly Results (USD)**

| Revenue $ | Apr | Jul | Oct | Jan |
|---|---|---|---|---|
| Most Recent | 7100.0 | 7302.0 | 6800.0 | 7012.0 |
| Previous | 6646.0 | 6778.0 | 7045.0 | 7166.0 |
| **Rev Growth %** | **Apr** | **Jul** | **Oct** | **Jan** |
| Most Recent | 6.8 | 7.7 | -3.5 | -2.2 |
| Previous | 0.2 | 5.5 | 4.8 | 6.8 |
| **Earnings Per Share $** | **Apr** | **Jul** | **Oct** | **Jan** |
| Most Recent | 2.63 | 2.22 | 2.38 | 2.54 |
| Previous | 2.06 | 2.05 | 2.09 | 1.45 |

**Close Competitors**

| | Mkt Cap $Mil | Rev $Mil | P/E | ROE% |
|---|---|---|---|---|
| Tokyo Electron Ltd | 20536369 | 2489610 | 38.3 | 28.5 |
| Lam Research Corp | 314181 | 21682 | 47.5 | 66.8 |

**Major Fund Holders**

| | % of shares |
|---|---|
| KODEX US NASDAQ100 | 0.02 |
| TIGER NASDAQ100 | 0.00 |
| TIGER US PHLX Semiconductor | 0.00 |

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[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

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